

March 13, 2026 08:00 PM GMT

Standard Chartered | Asia Pacific

Risk Reward Update

WHAT'S CHANGED

|                              |            |            |
|------------------------------|------------|------------|
| Standard Chartered (2888.HK) | From       | To         |
| Price Target                 | HK\$222.00 | HK\$195.00 |
| Bull Case                    | HK\$320.10 | HK\$324.20 |
| Base Case                    | HK\$189.30 | HK\$195.40 |
| Bear Case                    | HK\$66.60  | HK\$67.40  |
| Updated Components           |            |            |
| EPS                          |            |            |
| Investment Thesis            |            |            |
| Bull Base Bear Scenarios     |            |            |

Risk Reward for Standard Chartered (2888.HK) has been updated.

Reason for change

Following 4Q25 earnings, we have raised revenue forecasts to reflect stronger wealth and markets. We have revised cost estimates for 2026 to reflect the change from underlying to statutory reporting - like for like, our cost estimates are little changed for 2026 but are higher for 2027. We have lowered credit charge forecasts for both years. Lower associates income reflects the non-recognition of Bank of Bohai earnings. We expect US\$3bn share buyback in 2026 and US\$2.5bn in both 2027 and 2028. We also introduced earnings estimates for 2028. We have raised our payout ratio forecast to ~30% for the next three years.

Following the adjustments to earnings estimates and payout ratio, our bear, base, and bull case values increased 1.3%, 3.2%, and 1.3%, respectively. We have revised the bear/base/bull case weightings to 10:80:10 from 5:65:30, reflecting the potential impact from geopolitical uncertainties. Our price target is now HK\$195, down 12%.

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Standard Chartered (2888.HK, 2888 HK)

Hong Kong Financials | Hong Kong

|                                 |                  |
|---------------------------------|------------------|
| Stock Rating                    | Overweight       |
| Industry View                   | In-Line          |
| Price target                    | HK\$195.00       |
| Shr price, close (Mar 13, 2026) | HK\$164.50       |
| 52-Week Range                   | HK\$206.00-86.25 |

| Fiscal Year Ending | 12/25 | 12/26e | 12/27e | 12/28e |
|--------------------|-------|--------|--------|--------|
| EPS (US\$)**       | 2.34  | 2.22   | 2.66   | 3.19   |
| Prior EPS (US\$)** | 2.19  | 2.29   | 2.70   | 3.20   |

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

\*\* = Based on consensus methodology

e = Morgan Stanley Research estimates

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## Risk Reward – Standard Chartered (2888.HK)

Longer-term RoTE and capital returns remain supportive; valuation undemanding

### PRICE TARGET HK\$195.00

Gordon Growth model, probability-weighted 10% bull, 80% base, 10% bear (based upon likelihood of different macro outcomes, as well as returns and franchise improvement).

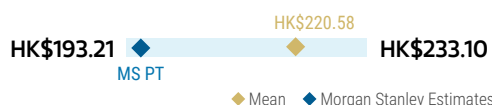
Key assumptions:

- Cost of equity: 10% base, 9% bull, 15% bear.
- Return on allocated equity: 10% bull, 10% base, 9% bear
- Terminal growth: 2.5%

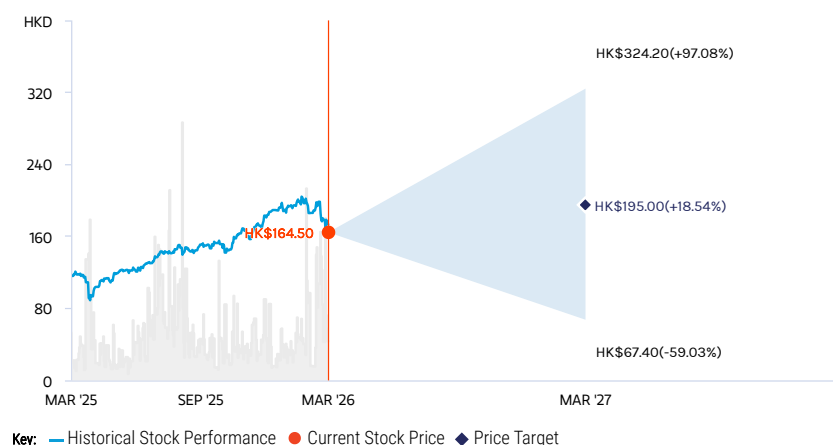
The result: target P/Bs 2.4x bull, 1.35x base, 0.51x bear.

#### Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



### RISK REWARD CHART



Source: Refinitiv, Morgan Stanley Research

### OVERWEIGHT THESIS

■ **Turn in the rate cycle set to lower NIM over the next five years:** However, hedging plus improved loan and fee growth (especially wealth fees) should help Standard Chartered more than mitigate the impact in the medium term.

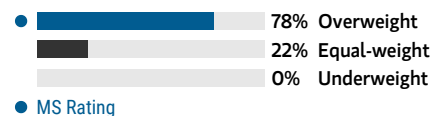
■ **RoTE set to improve and move ahead of cost of capital:** We forecast RoTE of 12.5% in 2026. We see RoTE above 14% from 2027 onward.

■ **High cost:income ratio makes bottom line sensitive to small changes in income and credit costs:** This will make continued non-NII generation key, especially as NIM is under pressure from lower rates

■ **High payouts to shareholders.** Share buybacks and dividends of US\$8.8bn forecast for 2026-27.

■ **Valuation is undemanding.**

#### Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

#### Risk Reward Themes

Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

#### BULL CASE

HK\$324.20

17x bull case 2026e EPS

**Adaption to US tariffs leads to more resilient Asian GDP growth:** The key Asian economies to which STAN is exposed fare better than expected, allowing stronger system loan growth. Impairments fall faster than expected.

#### BASE CASE

HK\$195.40

11.3x base case 2026e EPS

**Returns exceed 14% in 2027:** Top line grows, with modest NIM pressure. Cost control is good. Credit quality remains sound.

#### BEAR CASE

HK\$67.40

7.1x bear case 2026e EPS

**Macro disappointment, increased geopolitical risk:** Asian economic growth struggles to recover rapidly, driving up credit costs. Revenue growth headwinds increase as rates fall. Geopolitical tensions increase required cost of capital.

## Risk Reward – Standard Chartered (2888.HK)

### KEY EARNINGS INPUTS

| Drivers              | 2025 | 2026e  | 2027e | 2028e |
|----------------------|------|--------|-------|-------|
| Loan growth (%)      | 2.0  | 4.2    | 4.9   | 5.2   |
| NIM (%)              | 2.03 | 1.93   | 1.85  | 1.85  |
| Core PPOP growth (%) | 1.5  | (18.3) | 12.7  | 16.3  |
| Credit Costs (%)     | 0.23 | 0.25   | 0.29  | 0.28  |

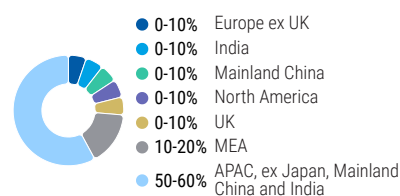
### CATALYST CALENDAR

| Date                      | Event                                              | Source: Refinitiv, Morgan Stanley |
|---------------------------|----------------------------------------------------|-----------------------------------|
| 08 May 2026 - 12 May 2026 | Standard Chartered PLC Annual Shareholders Meeting |                                   |

### INVESTMENT DRIVERS

- UK and global regulatory developments.
- Macroeconomic indicators, particularly in Asia.
- Short-term interest rates.

### GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate  
View explanation of regional hierarchies [here](#)

### RISKS TO PT/RATING

#### RISKS TO UPSIDE

- Faster-than-expected macroeconomic growth and resilience, causing better-than-expected asset quality
- Better-than-expected non-interest income growth
- Rates trough above 3%
- Bank able to return capital sooner than currently expected

#### RISKS TO DOWNSIDE

- Incremental deterioration in asset quality
- Greater pressure on interest rates
- Asian macro climate deteriorates
- Failure to deliver of cost targets

### OWNERSHIP POSITIONING

Inst. Owners, % Active 85.2%

Source: Refinitiv, Morgan Stanley Research

### MS ESTIMATES VS. CONSENSUS

FY Dec 2027e

**Sales / Revenue** (US\$, mn) 22,168 23,304 23,450  
22,916

**Net income** (US\$, mn) 5,622 5,886 6,220

**EPS** (US\$) 2.58 2.66 2.87  
2.71

**DPS** (US\$) 0.56 0.79 1.52  
0.86

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

## Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options\\_Probabilities\\_Exhibit\\_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR\\_Themes\\_Exhibit\\_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG\\_Exhibit\\_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG\\_Sustainable\\_Solutions\\_External\\_Link.pdf](#)
5. View explanation of HERS methodology - [ESG\\_HERS\\_External\\_Link.pdf](#)

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| Stock Rating Category | Coverage Universe |            | Investment Banking Clients (IBC) |                |                      | Other Material Investment Services Clients (MISC) |                       |
|-----------------------|-------------------|------------|----------------------------------|----------------|----------------------|---------------------------------------------------|-----------------------|
|                       | Count             | % of Total | Count                            | % of Total IBC | % of Rating Category | Count                                             | % of Total Other MISC |
| Overweight/Buy        | 1528              | 41%        | 444                              | 49%            | 29%                  | 690                                               | 42%                   |
| Equal-weight/Hold     | 1590              | 43%        | 374                              | 41%            | 24%                  | 725                                               | 44%                   |
| Not-Rated/Hold        | 4                 | 0%         | 1                                | 0%             | 25%                  | 1                                                 | 0%                    |
| Underweight/Sell      | 588               | 16%        | 87                               | 10%            | 15%                  | 220                                               | 13%                   |
| Total                 | 3,710             |            | 906                              |                |                      | 1636                                              |                       |

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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## Stock Price, Price Target and Rating History (See Rating Definitions)

Standard Chartered (2888.HK) - As of 03/13/26 GMT in HKD  
Industry : Hong Kong Financials



Stock Rating History: 3/1/21 : E/C; 10/17/22 : O/I

Price Target History: 1/12/21 : 51; 8/11/21 : 52; 2/16/22 : 58.5; 6/8/22 : 61.8; 10/17/22 : 69.3; 2/17/23 : 79.7; 7/31/23 : 89.1; 10/27/23 : 83.5; 12/12/23 : 86.4; 1/11/24 : 89.4; 2/26/24 : 93.3; 5/3/24 : 99.9; 7/8/24 : 100.4; 8/1/24 : 100; 10/7/24 : 103.2; 10/30/24 : 100.4; 1/4/25 : 108.5; 2/27/25 : 128.3; 4/9/25 : 112; 5/5/25 : 113.1; 5/21/25 : 121.5; 8/1/25 : 158.6; 10/8/25 : 173; 10/31/25 : 176.7; 11/24/25 : 188; 1/13/26 : 222

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ★ Stock Rating/Industry View

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INDUSTRY COVERAGE: Hong Kong Financials

| COMPANY (TICKER)                  | RATING (AS OF) | PRICE* (03/13/2026) |
|-----------------------------------|----------------|---------------------|
| Nick Lord                         |                |                     |
| BOC Hong Kong (2388.HK)           | U (01/04/2025) | HK\$40.64           |
| HSBC Holdings (0005.HK)           | O (01/13/2026) | HK\$122.50          |
| Standard Chartered (2888.HK)      | O (10/17/2022) | HK\$164.50          |
| Richard Xu, CFA                   |                |                     |
| HK Exchanges & Clearing (0388.HK) | O (02/24/2025) | HK\$401.40          |

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\* Historical prices are not split adjusted.